Business Context: Impact of a Digital Currency Conversion Tool

1. Importance of Using a Digital System in Business

Digital tools improve efficiency, accuracy, and customer service. For a travel agency:

- Accuracy & Speed: Manual currency conversion using calculators or tables is prone to errors and time-consuming. A digital tool ensures accurate, instant calculations for multiple currencies.
- Professionalism: Providing customers with a quick, formatted transaction summary increases trust and satisfaction.
- Data Tracking: A digital system can be extended to log transaction histories, monitor staff activity, or calculate total sales in different currencies, supporting decision-making.
- Cost Efficiency: Automating routine tasks reduces staff time spent on calculations, allowing focus on customer service and other value-added activities.

2. Advantages of the Digital Currency Tool

Pros	Explanation
Accuracy	Automated calculations remove human errors in conversions and fee calculations.
Speed	Converts currencies instantly, including transaction fees and staff discounts.
User-Friendly	Simple interface for staff to enter GBP and choose currency; outputs a clear transaction summary.
Consistency	Standardizes fees, discounts, and exchange rates across all transactions.
Auditability	Transaction logs can be kept for accounting or auditing purposes.

3. Disadvantages of the Digital Currency Tool

Cons	Explanation
Initial Setup Time	Programming, testing, and staff training require time and resources.
Reliance on Technology	System failure, hardware issues, or bugs may temporarily halt currency conversions.
Limited Adaptability	Locally hosted versions require manual updates if exchange rates change.
Data Security Risk	If extended to store customer data, sensitive information must be protected.

4. Locally Hosted vs Internet-Connected Version

Locally Hosted (Offline) Version:

- Advantages:
  - Works without internet access — reliable in areas with poor connectivity.
  - More secure since sensitive data remains on local devices.
  - No recurring online service costs.

Internet-Connected (Online) Version:

- Advantages:
  - Exchange rates can be updated automatically in real-time.
  - Data backup and storage can be managed in the cloud.
  - Allows remote access for multiple branches or staff members.
- Considerations: Choosing between local or online deployment depends on business priorities, such as security, connectivity, and the need for real-time data.